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Below are the answers to the 30 multiple-choice questions along with explanations for the options.

Questions 1–10: Fundamentals & VUCA

1) The method of funding a startup using only existing resources is:

- **Answer: b) Bootstrapping.**
- **Explanations:** Bootstrapping refers to starting a company with little capital, relying on personal savings and luck rather than outside investment. *Angel Investors* (d) and *Loans* (a) involve external capital.

2) Which individual is widely recognized as a prominent entrepreneur in modern society?

- **Answer: d) Elon Musk.**

+1

- **Explanations:** While the others are historical figures in science and arts, Musk is the contemporary business leader (Tesla, SpaceX).

3) Which of the following is NOT a component of the Business Model Canvas?

- **Answer: a) Opportunities.**
- **Explanations:** "Opportunities" is part of a SWOT analysis. The Business Model Canvas specifically includes Cost Structures, Revenue Streams, Value Propositions, and Customer Segments.

4) The component in a business model canvas that describes the groups of people an enterprise aims to serve is:

- **Answer: d) Customer Segments.**

+1

- **Explanations:** This identifies the specific target audience. *Value Propositions* (c) describe the product/service benefits, and *Key Activities* (e) describe what the company does to make the model work.

5) The "C" in negative VUCA world refers to:

- **Answer: a) Complexity.**
- **Explanations:** VUCA stands for Volatility, Uncertainty, **Complexity**, and Ambiguity.

6) The component in positive VUCA world associated with Volatility in negative VUCA is:

- **Answer: b) Vision.**
- **Explanations:** In the "Positive VUCA" framework (often credited to Bill George), Volatility is countered by **Vision**, Uncertainty by Understanding, Complexity by Clarity, and Ambiguity by Agility.

7) Which of the following is NOT a component of the Six Sigma Methodology?

- **Answer: e) Risk.**
- **Explanations:** Six Sigma uses the DMAIC framework: **D**efine, **M**easure, **A**nalyze, **I**mprove, and **C**ontrol.

8) What is NOT a key entrepreneurial motivator?

- **Answer: e) Delaying.**

+1

- **Explanations:** Delaying (procrastination) is a barrier to success. Vision, Passion, Commitment, and Hard Work are primary drivers.

9) A business's success is defined by the value it creates for:

- **Answer: a) Owners, Customers, Employees.**
- **Explanations:** These are the primary stakeholders. Creating value for competitors (b) or the judiciary (d) is not a definition of business success.

10) A good trait in an entrepreneur which will drive him towards success is:

- **Answer: c) Analyzing the external environment to identify opportunities..**

+1

- **Explanations:** Identifying opportunities is core to entrepreneurship. Ignoring team ideas (a), avoiding risks (b), and having a negative mindset (d) are detrimental traits.

Questions 11–20: Marketing & Social Innovation

11) Which of the following is CORRECT about Entrepreneurship?

- **Answer: d) Entrepreneurship requires creativity, innovation, and problem-solving skills..**

+1

- **Explanations:** It is never risk-free (a) and is not solely about individual profit (c), as it must create value for customers (e).

12) A popular misconception associated with entrepreneurship is:

- **Answer: e) When you become an entrepreneur, you can manage work-life balance..**

+1

- **Explanations:** Many assume entrepreneurship offers immediate freedom, but it often requires more hours and stress than a typical job. Options a, b, c, and d are actually realistic truths, not common "misconceptions" in this context.

13) Which of the following is a common source of funding for entrepreneurs?

- **Answer: a) Bank Loans.**

- **Explanations:** The other options (grocery shopping, movie tickets) are personal expenses, not capital sources.

14) Which of the following individuals is an upcoming entrepreneur in Sri Lanka?

- **Answer: c) Dhanika Perera.**

+1

- **Explanations:** Dhanika Perera is the founder of Bhasha (Helakuru). The others are actors (a), cricketers (d), singers (e), or authors (b).

15) Which of the following is INCORRECT about entrepreneurship?

- **Answer: b) Entrepreneurship is solely focused on making a profit..**

+1

- **Explanations:** Entrepreneurship also involves social value, innovation, and customer satisfaction. The other statements (taking risks, needing creativity) are correct.

+1

16) Which of the following answers contains 4Ps of Marketing?

- **Answer: d) Product, Price, Place, Promotion.**

+1

- **Explanations:** This is the classic marketing mix. The other options mix in "Profit" (b) or "Packaging" (a), which are not part of the core 4Ps.

17) Which of the following is an Entrepreneurial Marketing Technique?

- **Answer: a) Growth Hacking Strategy.**
- **Explanations:** Growth hacking is a low-cost, innovative strategy typical of startups. Digital Marketing (c) is a broad field, while Lean Startup (b) is a methodology, though closely related.

18) Which of the following is CORRECT about Entrepreneurial Marketing?

- **Answer: a) Entrepreneurial marketing is the overlap between entrepreneurship and marketing..**
- **Explanations:** It relies heavily on innovation (c) and often focuses on new or emerging markets rather than just established ones (b).

19) Which characteristics are associated with ENTREPRENEURIAL MARKETING?

- **Answer: e) I, II and III.**
- **Explanations:** It is innovation-oriented (I), uses informal data collection (II), and focuses on building long-term customer relationships (III).

20) Which of the following is TRUE about Social innovation?

- **Answer: a) Developing and deploying effective solutions to challenging social and environmental issues.**
 - **Explanations:** Social innovation focuses on societal well-being. Options b, c, d, and e describe unethical or outdated practices.
-

Questions 21–30: Legal & Final Concepts

21) Which correctly denotes the types of Business Structures in Sri Lanka?

- **Answer: a) Sole Proprietorship, Partnership, Limited Liability Company, Public Limited Company.**
- **Explanations:** These are the standard legal entities for business in the country.

22) In company registration in Sri Lanka, what is required regarding a company secretary?

- **Answer: c) A local resident secretary must be appointed before incorporation..**

+1

- **Explanations:** Sri Lankan law requires the appointment of a secretary who is a resident of Sri Lanka prior to the completion of registration.

23) What categories of rights are included within Intellectual Property?

- **Answer: b) Industrial Property and Copyright.**

+1

- **Explanations:** Intellectual property is broadly divided into Industrial Property (patents, trademarks) and Copyright (literary and artistic works). EPF/ETF (e) are employee benefit funds.

24) Which types of employment are commonly recognized under laws?

- **Answer: e) Casual Employees and Apprentices/Interns.**

+1

- **Explanations:** These are legal classifications of workers. "Illegal Employees" (c) or "Franchising" (b) are not employment types.

25) Which of the following are NOT characteristics of an entrepreneur?

- **Answer: c) Dependence and Inflexibility.**

+1

- **Explanations:** Entrepreneurs must be independent and flexible. Creativity, passion, and leadership are positive traits.

+1

26) What does "Status Quo" refer to?

- **Answer: e) The unchanged or existing state of affairs.**

+1

- **Explanations:** Entrepreneurs often seek to disrupt the status quo.

27) Which of the following characteristics is/are TRUE about an entrepreneur?

- **Answer: e) I, II and III.**
- **Explanations:** Entrepreneurs are owners (I), view "no" as a learning opportunity (II), and succeed by taking risks (III).

28) Which of the following are types typically included in the Value Proposition Canvas?

- **Answer: c) Customer Jobs, Pains, and Gains.**

+1

- **Explanations:** This canvas focuses on matching product benefits (gain creators, pain relievers) to customer profiles (jobs, pains, gains).

29) Which statement accurately describes personal branding?

- **Answer: b) It involves creating a unique identity for an individual to differentiate themselves..**

+1

- **Explanations:** It is about an individual's reputation and identity, not a corporate entity (a) or an act of impersonation (e).

30) Which terms are commonly associated with social innovation?

- **Answer: e) Beneficiary, Empathy, Idea, Impact, Business Model.**
- **Explanations:** Social innovation is driven by empathy for the beneficiary and focuses on social impact. The other lists contain negative terms like "Monopoly" or "Exploitation."

Here's a **well-structured note** with added **clear explanations/definitions** where needed 📌

Entrepreneurship and the Entrepreneurial Mindset

1. What is Entrepreneurship?

Definition

Entrepreneurship is the process of identifying problems, creating solutions, and building value through innovation while taking calculated risks.

Important Clarifications

Entrepreneurship is **NOT only**:

- Starting a company
- Becoming rich
- Having large capital

Entrepreneurship **IS**:

- Solving real-world problems
- Creating value for customers
- Taking **calculated risks** (*risks evaluated with some planning, not blind gambling*)
- Showing innovation and initiative

2. Core Entrepreneurship Formula

Problem + Solution + Value = Business

Explanation

- **Problem** → A real issue people face
- **Solution** → A product/service that solves it
- **Value** → The benefit customers receive

👉 Bigger problems often lead to **bigger business opportunities**.

3. Employee vs Entrepreneur

Employee	Entrepreneur
Fixed income	Variable income
Lower risk	Higher risk
Works on assigned tasks	Makes decisions
Less responsibility	High responsibility

Note

An employee **can still be entrepreneurial** by:

- Thinking creatively

- Improving processes
 - Taking initiative
-

4. Entrepreneurial Mindset

Definition

An **entrepreneurial mindset** is a way of thinking that focuses on identifying opportunities, solving problems, and continuously improving.

Key Characteristics

1. **Problem-solving attitude** – Focus on solutions, not complaints
 2. **Risk tolerance** – Willingness to take **calculated risks**
 3. **Creativity & innovation** – Generating new ideas
 4. **Persistence & resilience** – Ability to recover from failures
 5. **Continuous learning** – Always improving knowledge and skills
-

5. Barriers to Entrepreneurship

- Fear of failure
- Lack of capital (*money/resources*)
- Social pressure (*family, society expectations*)
- Lack of confidence

👉 **Insight:** Fear often stops people more than actual failure.

6. Identifying Problems and Opportunities

Problem Identification

Focus areas:

- Education
- Health
- Transport
- Food
- Technology

Key Questions

- Who faces the problem? (*target users*)

- Why does it matter? (*importance/impact*)
-

7. From Problem to Solution

Good Solution Criteria

- **Simple** – Easy to understand/use
- **Affordable** – Cost-effective
- **Useful** – Solves a real need

👉 Don't aim for perfection—focus on **practical usefulness**.

8. Business Models

Definition

A **business model** explains how a business creates, delivers, and earns money from value.

Types

- **Product-based** – Selling physical/digital products
 - **Service-based** – Providing services (e.g., consulting)
 - **Digital/Online** – Apps, websites, platforms
 - **Freelancing/Consulting** – Skill-based individual services
-

9. Simple Business Flow

Customer → Value → Money → Business

Explanation

- Customers receive value
- They pay money
- That sustains the business

👉 **No customer = No business**

10. Startup Funding

Definition

Funding is money used to start, operate, or grow a business.

Why It Matters

- Turns ideas into reality

- Supports product development
- Enables scaling (*growth to reach more customers*)
- Provides stability

👉 Funding helps growth but **cannot fix a bad idea**.

11. Types of Startup Funding

1. **Bootstrapping** – Self-funding
 2. Friends & Family
 3. Angel Investors
 4. Venture Capital
 5. Bank Loans
 6. Grants & Competitions
-

12. Bootstrapping

Definition

Starting a business using **personal savings and reinvesting profits**.

Advantages

- Full control
 - Lower financial risk
 - Builds discipline
-

13. External Funding

- **Angel Investors** → Invest in early-stage startups
- **Venture Capital (VC)** → Invest in high-growth businesses
- **Bank Loans** → Borrowed money (must repay with interest)

Requirements

- Clear business plan
 - Market validation (*proof customers want it*)
 - Strong team
-

14. Funding vs Ownership

- More funding → Less ownership
- Investors expect returns
- Decision-making may be shared

👉 Not all funding is beneficial (“**smart money**” matters).

15. When to Seek Funding

- After idea validation
- When customers show interest
- When scaling is needed

✗ Not at idea stage only

👉 **Traction attracts funding**

(*Traction = real user/customer growth or interest*)

16. Failure, Risk, and Reality

- Many startups fail
- Failure gives feedback
- Learning comes from mistakes

👉 Failure is part of success, not the opposite.

17. Advice for Student Entrepreneurs

- Start small
 - Use available resources
 - Learn continuously
 - Build networks (*connections with people*)
 - Take action early
-

18. Key Takeaways

1. Entrepreneurship begins with problems
2. Mindset is more important than money
3. Funding is a tool, not the goal
4. Action is more important than ideas

19. Mini Business Pitch Structure

When presenting a startup idea:

1. Problem
2. Solution
3. Target customer
4. Business model
5. Funding need



Entrepreneurial Marketing

1. Who is an Entrepreneur?

Definition

An **entrepreneur** is a person who identifies opportunities, creates a new business (product or service), and takes risks to generate value.

Key Points

- Creates new products/services
- Bears risks (*uncertainty of success or failure*)
- Innovator (*generates new ideas*)
- Initiator (*starts and drives actions*)
- Has multiple characteristics (not limited to one type)

2. What is Marketing?

Definition

Marketing is the set of activities and strategies used by a business to **identify customer needs, create value, and promote products/services to generate profit.**

Simple Explanation

Marketing helps to:

- Reach customers
- Make them aware of a product/service
- Convince them to buy

- Retain them (*keep them coming back*)
-

3. Marketing vs Advertising

Important Concept

- **Marketing ≠ Advertising**

Explanation

- **Marketing** → Full process (research, product development, pricing, promotion, customer relationship)
- **Advertising** → Only a part of marketing (promotion/communication)

👉 Advertising is just **one component** of marketing.

4. Modern Definition of Marketing

According to **Philip Kotler** (Father of Modern Marketing):

Marketing is:

- Exploring and identifying customer needs
- Creating and delivering value
- Selecting the right target market
- Generating profit

Key Concepts Explained

- **Target Market** → Specific group of customers a business focuses on
 - **Value** → Benefits customers receive compared to cost
 - **Market Segments** → Sub-groups of customers with similar needs
-

5. Core Functions of Marketing

- Promote and sell products/services
 - Reach target customers
 - Create awareness
 - Encourage purchase
 - Build customer loyalty (*retention*)
-

6. 4Ps of Marketing (Marketing Mix)

Definition

The **marketing mix** is a framework used to plan marketing strategy.

The 4Ps

1. **Product** → What you sell (goods/services)
 2. **Price** → How much customers pay
 3. **Place** → Where/how the product is distributed
 4. **Promotion** → How you communicate and advertise
-

7. What is Entrepreneurial Marketing?

Definition

Entrepreneurial Marketing is the combination of entrepreneurship and marketing, focusing on innovative, flexible, and opportunity-driven ways to create and promote value.

👉 Based on Bäckbrö & Nyström (2006)

Simple Meaning

- Using **creative, low-cost, and innovative marketing** methods
 - Common in **startups and small businesses**
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8. Characteristics of Entrepreneurial Marketing

- Focus on **innovation and new ideas**
 - Uses **informal data collection** (*e.g., feedback, direct interaction instead of heavy research*)
 - **Bottom-up approach**
 - Starts small and grows gradually
 - Focus on **early customers**
 - Builds **long-term relationships**
 - Encourages **two-way communication** with customers
-

9. Entrepreneurial vs Traditional Marketing

Entrepreneurial Marketing Traditional Marketing

Flexible & informal

Structured & formal

Low-cost strategies

High-budget campaigns

Entrepreneurial Marketing Traditional Marketing

Customer interaction Less direct interaction

Innovation-focused Research-focused

10. Entrepreneurial Marketing Techniques

1. Guerrilla Marketing

- Low-cost, creative marketing
 - Uses surprise/unconventional methods
👉 Example: Flash mobs, street campaigns
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2. Viral Marketing

- Content spreads rapidly online
 - Relies on sharing
👉 Example: Trending social media videos
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3. Digital Marketing

- Online platforms (social media, websites, ads)
👉 Tools: Instagram, Google Ads
-

4. Relationship Marketing

- Focus on building long-term customer relationships
👉 Example: Loyalty programs
-

5. Real-Time Marketing

- Reacting instantly to trends/events
👉 Example: Posting during trending topics
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6. Word-of-Mouth (WOM) Marketing

- Customers promote the product through recommendations
👉 Very powerful and low cost
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7. Expeditionary Marketing

- Testing ideas quickly in the market
 - Learning and adapting fast
 - 👉 Similar to trial-and-error approach
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11. Key Takeaways

1. Marketing is about **creating and delivering value**, not just selling
 2. Advertising is only **one part of marketing**
 3. Entrepreneurial marketing focuses on **innovation and flexibility**
 4. Startups rely on **low-cost, creative strategies**
 5. Strong customer relationships are essential
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If you want next, I can:

- Turn this into **exam answers (definitions + 5/10 mark answers)**
- Give **real startup examples (Sri Lanka + global)**
- Or create a **comparison chart for exams** 🚀